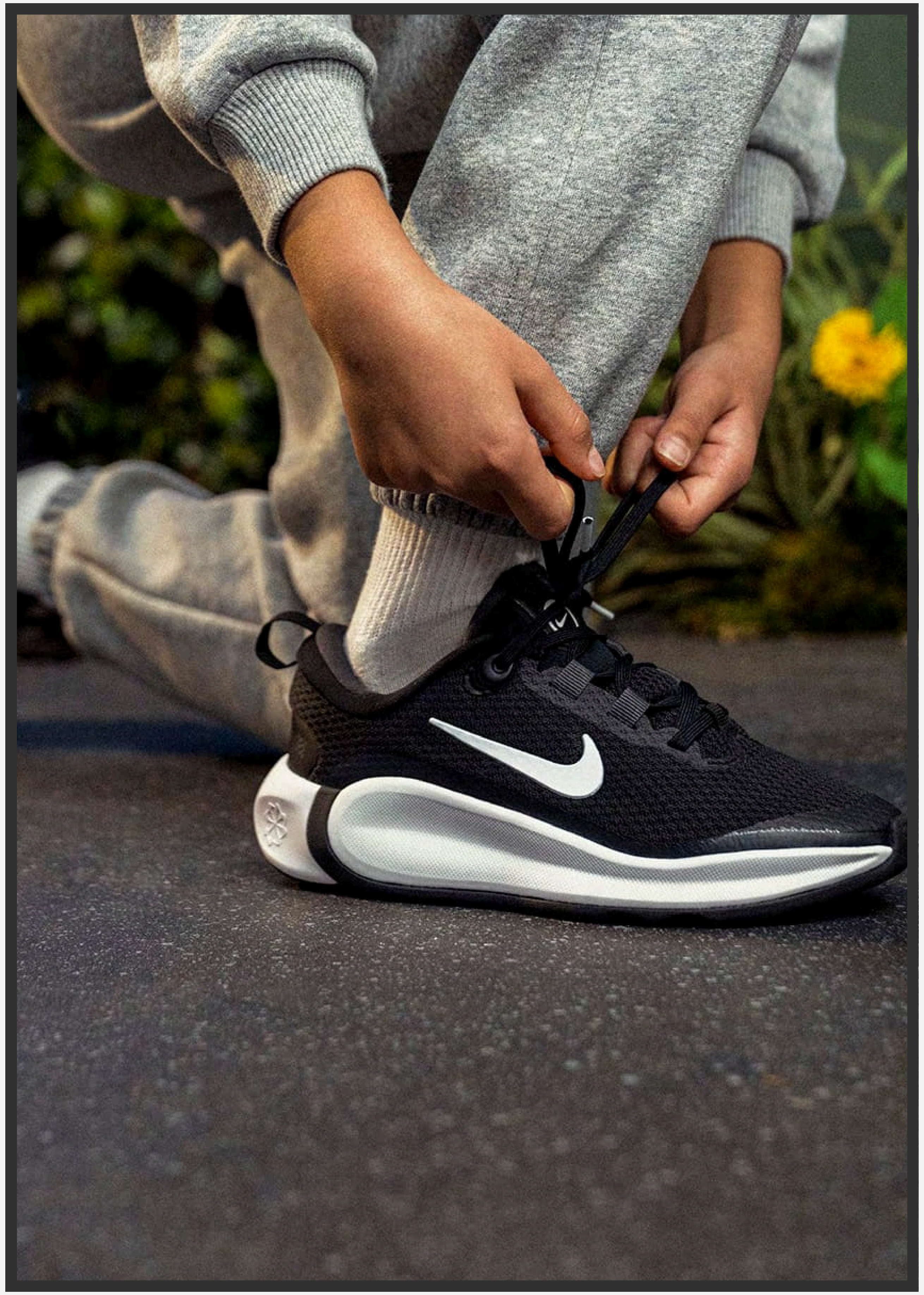


# NIKE

Just Do It.

Presented by: Jahnavi, Nishant, Rohan

# HI!

ROHAN

NISHANT

JAHNAVI

# NIKE’S MISSION:

“Bring inspiration and innovation to every athlete in the world. If you have a body, you are an athlete”.

# LONDON 2012 SUMMER OLYMPICS

**An Uphill Battle against Adidas:**

- In 2012 the Summer Olympics was hosted in London. Every sports brand was eager to become the title sponsor for this Olympics.
- Adidas won the title Sponsor bid $150 million thinking it was their golden gateway to leave Nike behind.
- Exclusive rights were granted only to official sponsors for the use of Olympic symbols and keyword phrases such as “Olympic Games,” “London 2012,” “Summer Olympics” and many more.

# TURNING CRISIS INTO OPPORTUNITY


**Athlete Partnerships**

- Athletes had the freedom to choose their gear.
- Nike hired nearly 400 athletes as brand ambassadors to wear Nike shoes and apparel during events.

**The VOLT Lineup**

- Nike introduced the VOLT collection, a bold lineup of **neon yellow-green** shoes.
- The color was strategically chosen to stand out on the Olympic tracks, drawing attention to Nike's presence.

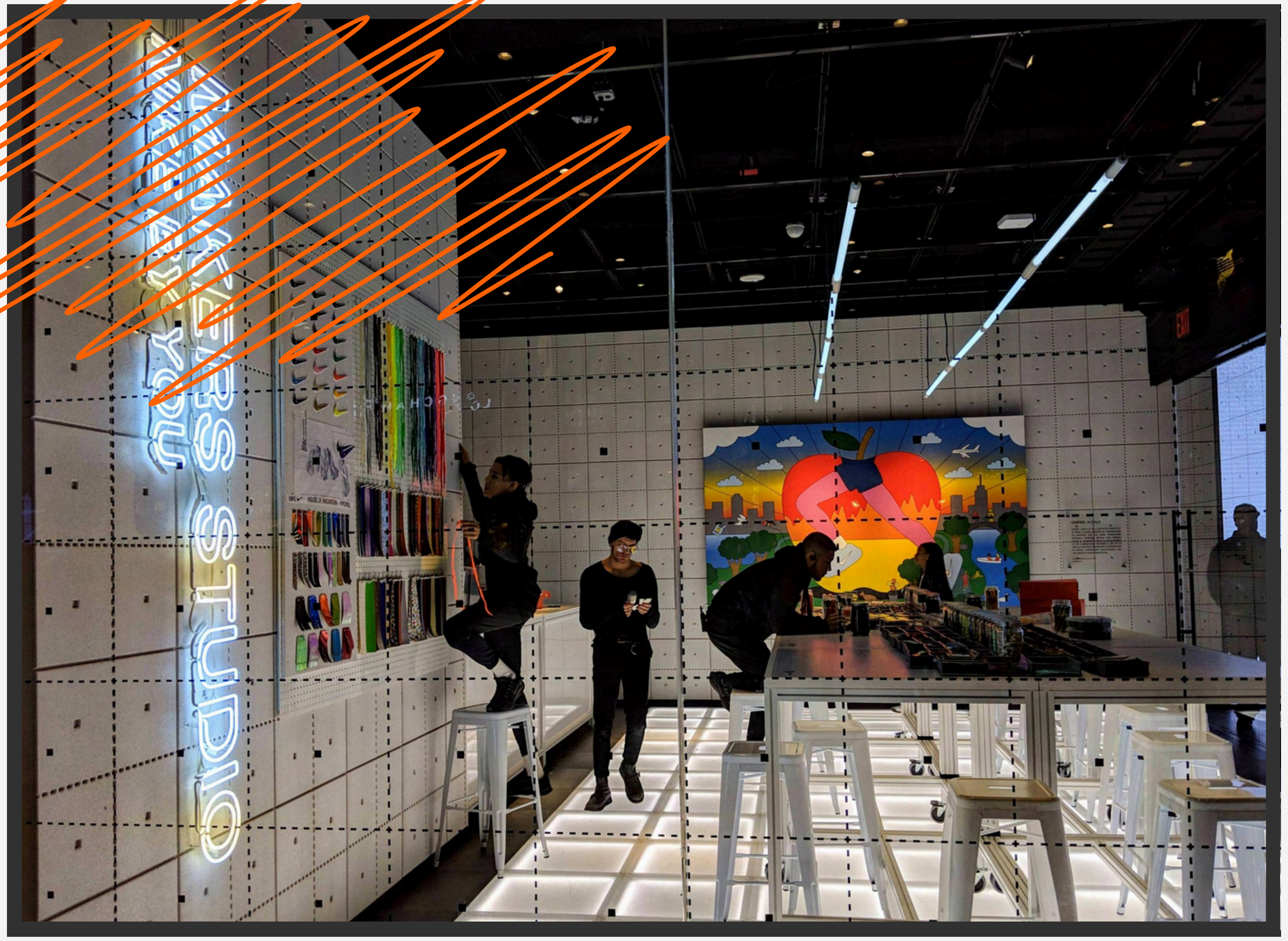
# “FIND YOUR GREATNESS”


**Motivational Campaign:**

- Nike Decided to hire Local average teenagers as ambassadors for their Campaign.

- In the commercial, they harness the power of inspiration when they do not want to show Michael Phelps but they want to show the spirit and mentality of Michael Phelps in every individual in every common man who has the dreams to do something big.

- The commercials emphasized Nike’s core philosophy:
  "There is an athlete in everyone."



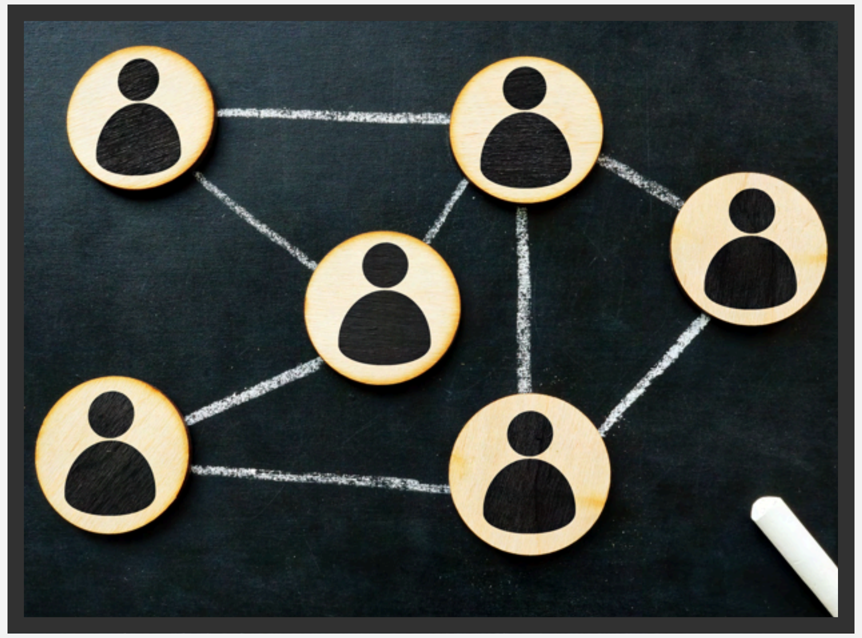
# PROCESSES



Nike employs a sophisticated innovation process that integrates cross-functional collaboration, customer feedback, and iterative design. Key elements include:

- **Idea Generation:**
  - Brainstorming across product design, engineering, and marketing teams.
  - Incorporating consumer insights from data analytics, athlete feedback, and market trends.
  - Emphasis on sustainability and digital transformation in recent years.
- **Development:**
  - Products are prototyped and rigorously tested in Nike's Innovation Kitchen.
  - Iterative cycles ensure continuous improvement, with input from professional athletes.
  - Nike leverages technologies like 3D printing and AI for faster, more precise product development.
- **Commercialization:**
  - Launch strategies rely on high-impact campaigns featuring celebrity endorsements.
  - Global distribution through retail, e-commerce, and direct-to-consumer channels.

**Challenges:**
**Time-to-Market:** Extensive testing phases can delay commercialization.
**Coordination**: Gaps between innovation and marketing teams may hinder alignment on consumer expectations.



# CORPORATE STRUCTURE

Nike's organizational structure supports its innovation goals through a matrix model, combining functional expertise and product-based divisions:

| NIKE CORPORATE LEVEL | | | | |
|---|---|---|---|---|
| **Functional Divisions** | **Product Divisions** | **Regional Divisions** | **Customer Segments** | **Support Functions** |
| R&D<br>Marketing<br>Sales<br>Operations<br>Finance | Footwear<br>Apparel<br>Equipment | North America<br>Europe<br>Asia-Pacific<br>Emerging Markets | Professional Athletes<br>Casual Users<br>Children | HR/Employee Training<br>IT/Data Analytics<br>Sustainability |

# STRENGTHS AND WEAKNESSES

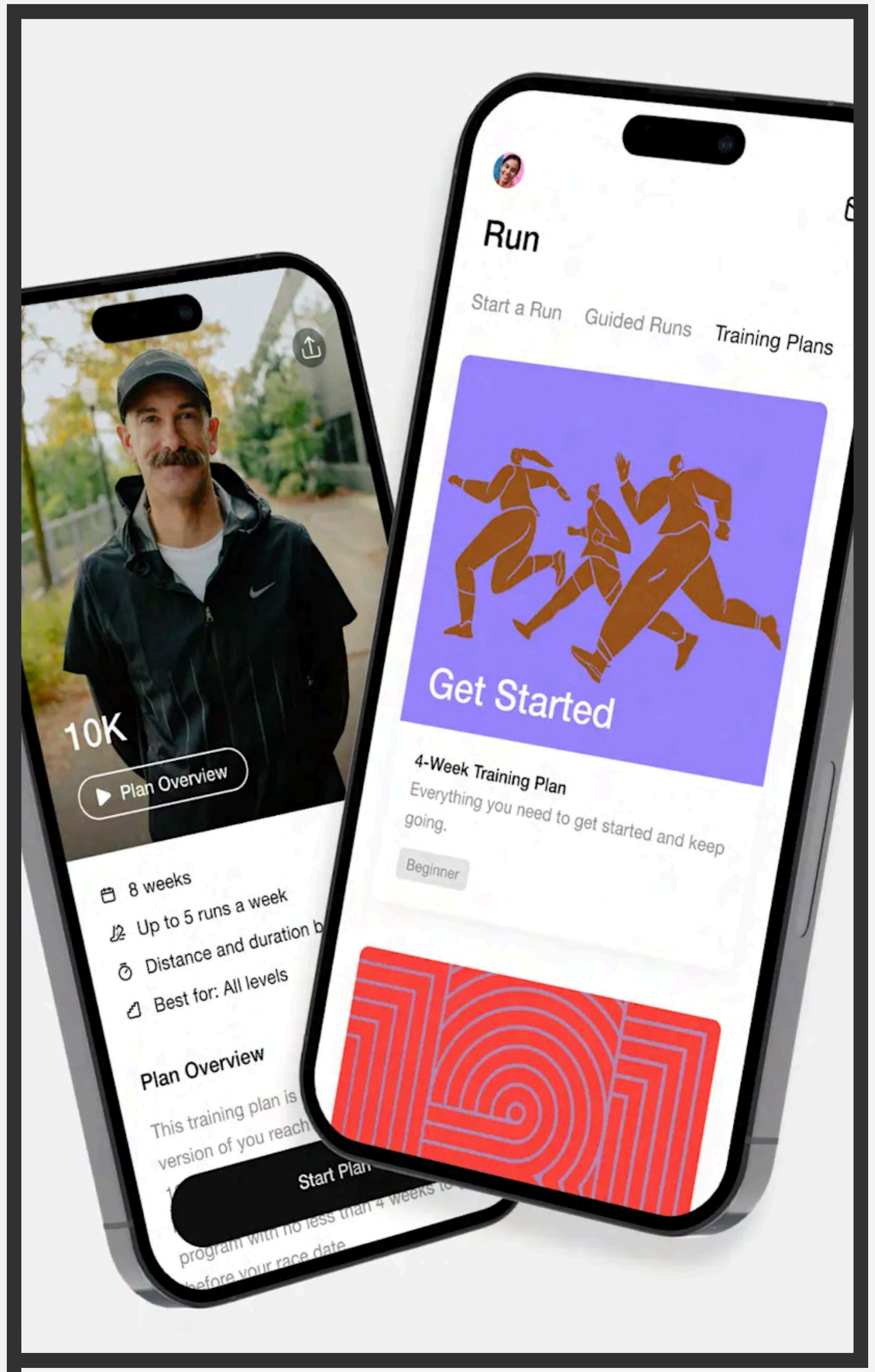


**Complexity in Decision-Making:**
Dual reporting lines can lead to confusion and slowed processes.
Conflicts may arise over resource allocation between product teams and functional divisions.
**Resource Allocation Conflicts:**
High-growth product lines (e.g., Flyknit) may demand more resources, potentially deprioritizing other categories.
**Communication Gaps:**
Misalignment between global functions and regional teams can create inefficiencies in launching new products.


**Collaboration Across Divisions:**
Encourages cross-functional communication between R&D, Marketing, and Sales.
Product-based divisions benefit from specialized support (e.g., Marketing designs campaigns for specific product lines like Air Max or Flyknit).
**Focus on Innovation:**
Functional expertise supports cutting-edge R&D.
Product teams concentrate on tailoring innovations for specific categories.
**Market Responsiveness:**
Regional teams adapt product designs and marketing strategies to fit local consumer preferences.
Geographical divisions enable agility in responding to market demands.

# STRATEGY



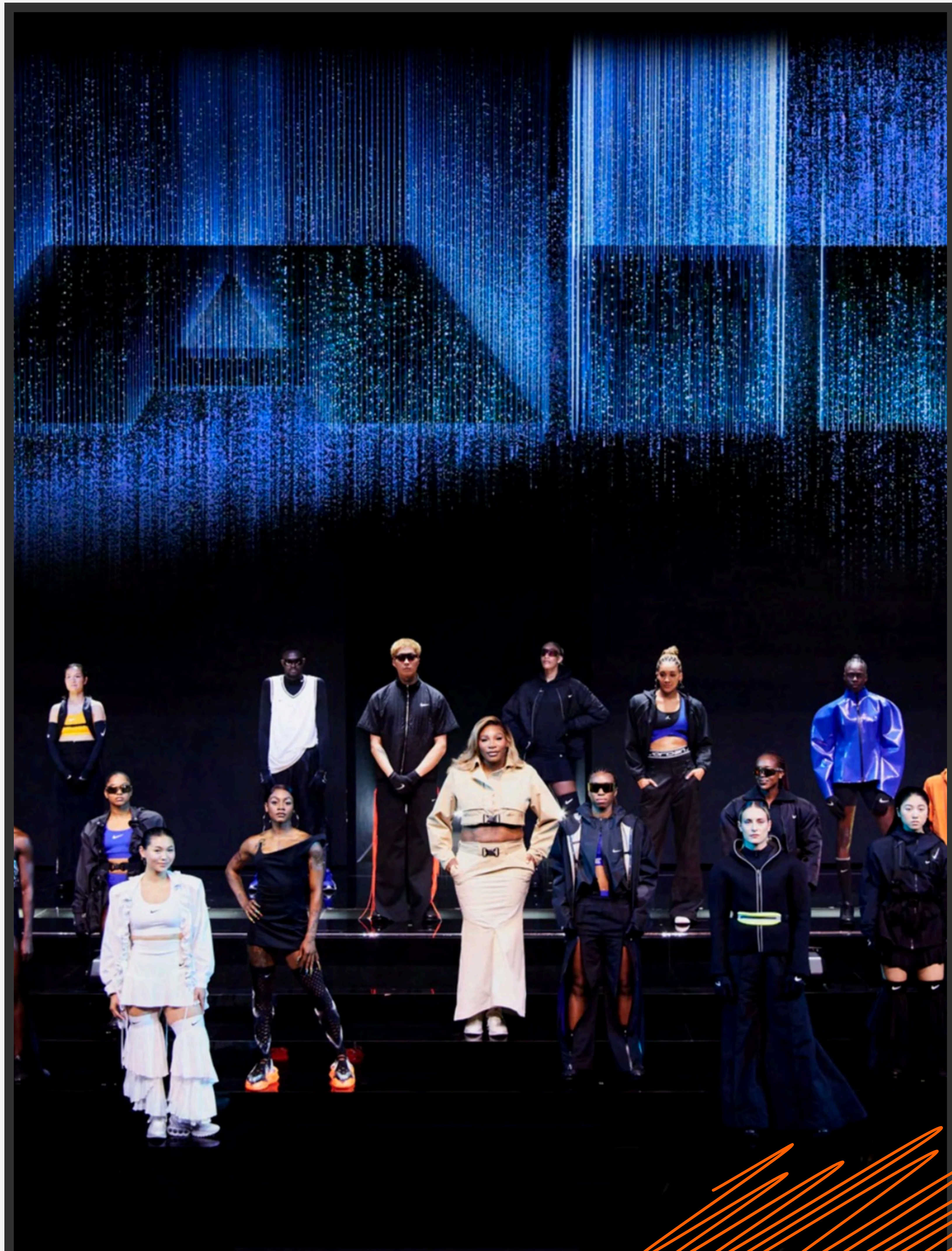



Nike’s innovation strategy focuses on sustainability, digital transformation, and consumer-centricity:

- **Sustainability:**
  - Innovations like Flyknit significantly reduce waste and energy usage.
  - Commitment to achieving net-zero carbon emissions by 2050.
- **Digital Transformation:**
  - Investments in apps like Nike Run Club and connected devices.
  - Use of AI and machine learning for personalized consumer experiences.
- **Market Leadership:**
  - Emphasis on sustaining innovations (e.g., incremental upgrades to Air Max) while pursuing disruptive innovations like self-lacing shoes.

**Challenges:**

- Balancing long-term disruptive projects with short-term profit goals.
- Competition from brands like Adidas in performance and lifestyle segments.



# PEOPLE



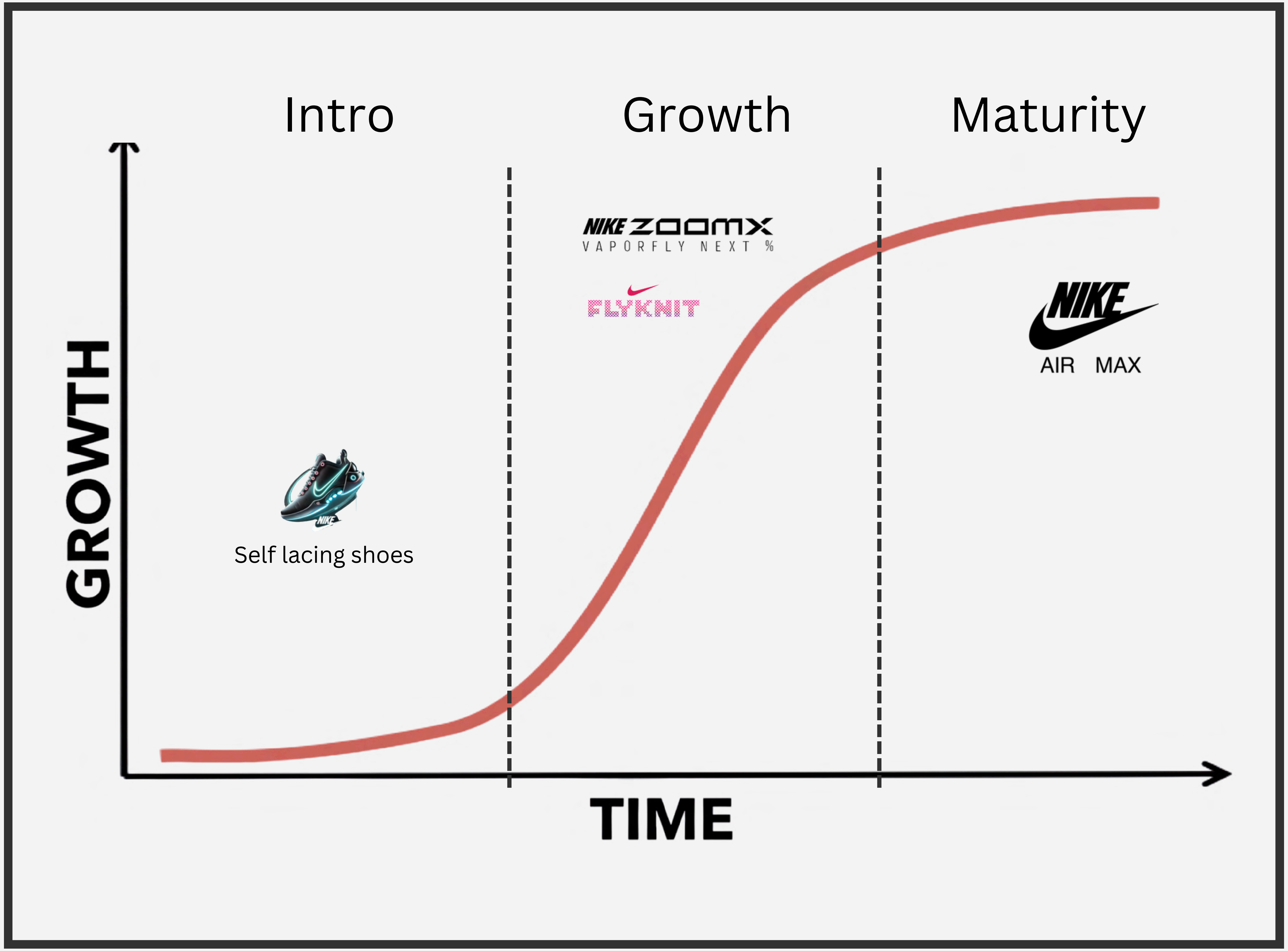
Nike's innovation culture thrives on diversity, collaboration, and creativity:

- **Recruitment:**
  - Attracts top talent through partnerships with universities and design schools.
  - Focus on hiring diverse teams to foster creativity and inclusivity.
- **Employee Development:**
  - Offers workshops, learning programs, and intrapreneurship opportunities.
  - Encourages risk-taking and experimentation.
- **Culture:**
  - Recognizes and rewards innovation through internal programs.
  - Provides psychological safety, allowing teams to fail fast and learn quickly.

**Challenges:**

- Retaining top talent amidst competition from tech and lifestyle brands.
- Scaling a collaborative culture across global teams.

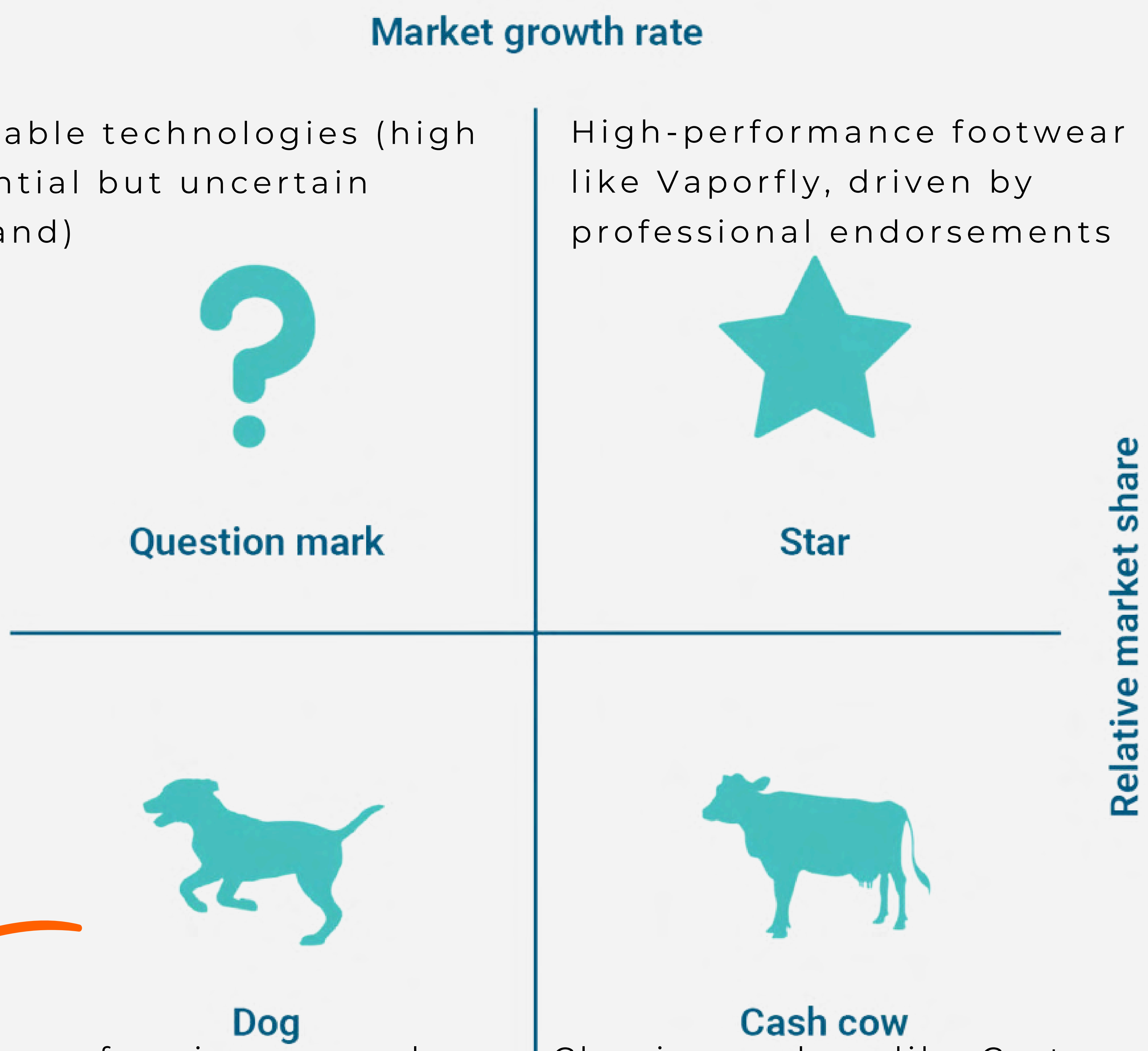
# S-CURVE ANALYSIS



# BCG MATRIX

Wearable technologies (high potential but uncertain demand)

High-performance footwear like Vaporfly, driven by professional endorsements




Underperforming apparel lines; may need repositioning or divestment

Classic sneakers like Cortez, providing steady revenue for R&D

# THE BIRTH OF AIR JORDAN (1984)



**Partnership with Michael Jordan:**

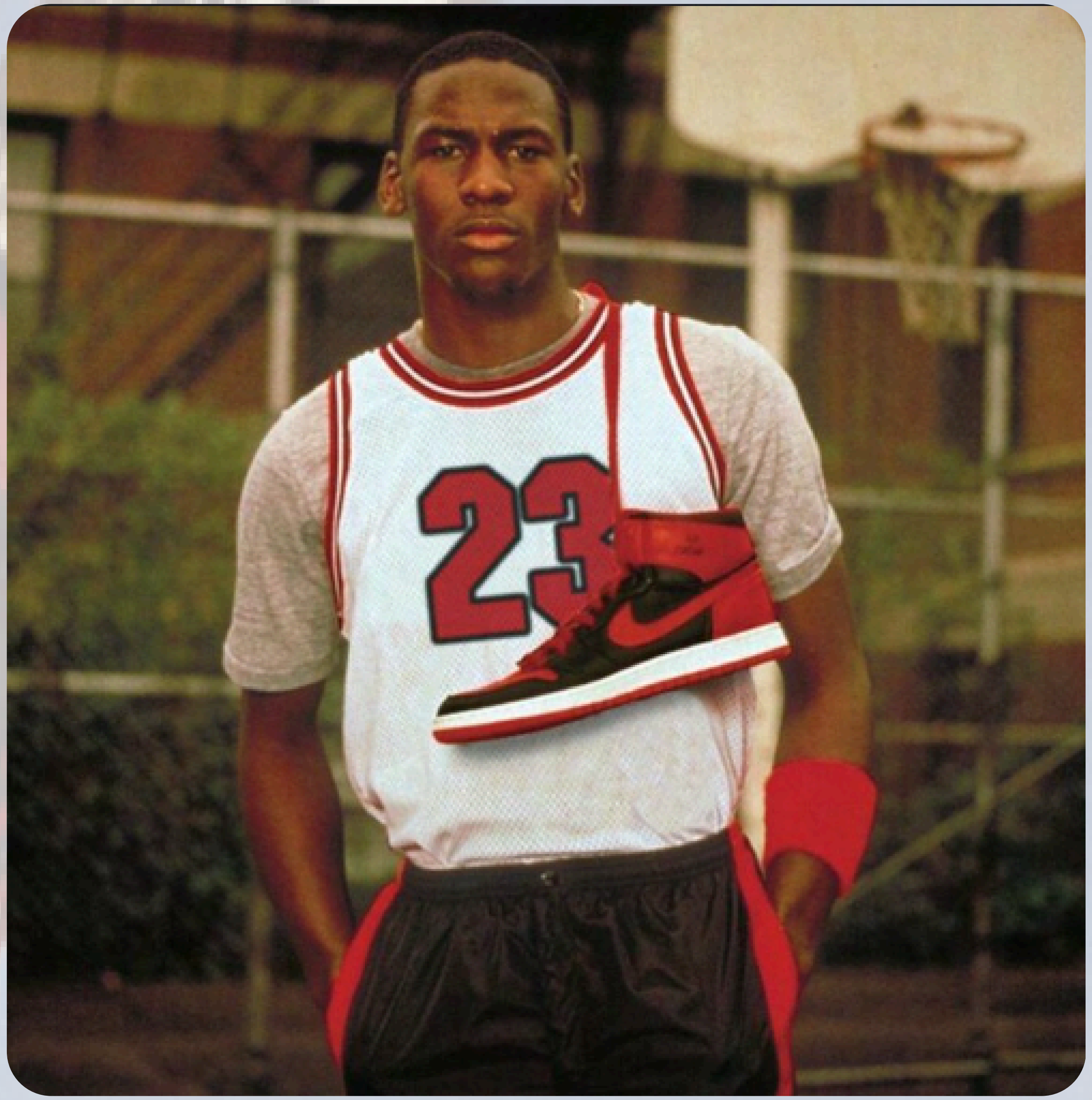
- Nike signed Michael Jordan, a rookie NBA player, in 1984, breaking norms by heavily investing in an unproven athlete.

**Design and Branding:**

- The Air Jordan I, designed by Peter Moore, was revolutionary with bold colorways that contrasted the NBA's uniform policy.

**Marketing Masterstroke:**

- Nike leveraged Jordan's charisma and performance to promote the brand.
- "Banned" commercials highlighted the NBA's prohibition of the sneakers, turning controversy into a marketing triumph.



# TURNING CONTROVERSY INTO OPPORTUNITY MANCE

**NBA Ban and Publicity:**

- The Air Jordan I violated the NBA's uniform policy, incurring a $5,000 fine per game.
- Nike chose to pay the fines, using the ban to amplify media coverage and consumer curiosity.

**Cultural Impact:**

- The bold move resonated with younger audiences, aligning the brand with a sense of rebellion and individuality.
- It marked the beginning of the "sneaker culture," where footwear became a fashion statement beyond athletic performance.

**First-Year Success:**

- Sales exceeded $150 million in the first year, an unprecedented achievement for a single line of sneakers.

# AIR JORDAN BRAND LEGACY

**A Billion-Dollar Brand:**

- The Air Jordan line became one of Nike's most lucrative and iconic franchises, contributing billions to Nike's revenue annually.
- The collaboration solidified athlete endorsements as a core marketing strategy in the sportswear industry.

**Cultural and Social Influence:**

- The Air Jordan brand transcended basketball, influencing music, streetwear, and pop culture.
- Even today, retros and new designs consistently sell out, cementing their legacy as timeless cultural artifacts.

# SUSTAINABILITY INNOVATION



- Aims to transition to a zero-carbon, zero-waste economy.
- Over 75% of Nike products now include some recycled content, like recycled polyester and Nike Grind (a material made from recycled shoes and manufacturing waste).
- Development of Flyknit Technology, which uses significantly less waste compared to traditional shoe manufacturing.
- Design products to be durable, repairable, and recyclable.

# MAKING NIKE AIR WITH IN-HOUSE RECYCLING

**Sustainable Air Units**

- Over 90% of Nike Air units are made with at least 50% recycled materials.

**Closed-Loop Process**

- Excess materials from production are recycled back into new Air units, minimizing waste.

**Powered by Renewable Energy**

- Nike Air manufacturing facilities use 100% renewable wind energy.

**Environmental Impact**

- Reduces Nike’s carbon footprint while maintaining product innovation and performance.

**Commitment to Sustainability**

- A key initiative under Nike's Move to Zero campaign, showcasing sustainable manufacturing practices.

# NIKE'S REVERSE LOGISTICS: SAVING MILLIONS OF SHOES

**Extending Product Life**

- Collects used and defective shoes through Nike Refurbished and Nike Grind programs.

**Reuse and Recycling**

- Shoes are either refurbished for resale, donated, or turned into materials for new products.

**Global Scale Impact**

- Prevents millions of shoes from ending up in landfills annually.

**Efficient Logistics Network**

- Uses advanced logistics to manage collection, sorting, and redistribution efficiently.

**Sustainability in Action**

- Aligns with Nike's Move to Zero goals of zero waste and zero carbon.

# MILESTONES AND PROGRESS


- Achieved **30% reduction in carbon emissions** per unit of revenue from 2015 levels.
- Manufacturing facilities powered by **100% renewable energy** in North America and Europe.
- Over **75% of products** now include **recycled materials.**
- **90% of Nike Air** units are made with at least **50% recycled materials**.
- Prevents **millions of shoes** from landfills through programs like **Nike Refurbished and Nike Grind.**
- Programs like Move to Zero and Refurbished encourage **Circular Design Principles** of **repair, recycle and reuse.**
- Campaigns inspire consumers to prioritize sustainability in their choices.
- Sets a benchmark for competitors by prioritizing sustainability in innovation, operations, and marketing.

# ECONOMIC HEADWINDS?

**Declining Sales and Weak Forecasts**

- Sales expected to decline 10% in fiscal Q1 2025, compared to analysts' expectations of a 3% drop
- Full fiscal year 2025 projected to see mid-single-digit sales decline, further eroding investor confidence

**Digital Sales Struggles**

- 10% year-over-year decline in digital revenue despite significant investment in e-commerce
- Overcommitment to direct-to-consumer strategies has strained performance and margins.

# ECONOMIC HEADWINDS?

- **Inventory Challenges:** excess inventory led to aggressive discounting, reducing profit margins
- **Strained Wholesale Relationships:** Nike severed ties with key wholesale retailers like Urban Outfitters and Macy's in the past, which significantly limited its market reach
- **Competitive Pressures**: Competitors like Adidas thriving due to popular retro styles and effective marketing, further diminishing Nike’s market share.

# WHAT NEXT?

## PROCESS IMPROVEMENTS

**Continue Agile Methodologies:**

- Speed up time-to-market while maintaining quality standards.
- Enable faster response to market trends and consumer demands.

**Customer Co-Creation Programs:**

- Involve consumers in product design and feedback before prototyping.
- Enhance customer-driven innovation and reduce product misalignment.

**Enhance Feedback Loops:**

- Foster better alignment between marketing, product development, and innovation teams.
- Ensure new products resonate with target audiences.

# STRUCTURAL ENHANCEMENTS


**Simplify Reporting Lines:**

- Streamline decision-making and improve operational efficiency.
- Enable faster execution of key initiatives.

**Prioritize High-Impact Projects:**

- Focus resources on major projects like digital transformation or sustainability initiatives.
- Improve project outcomes with dedicated teams.

**Strengthen Regional Innovation Hubs**

- Localize products to meet market-specific needs, especially in key regions like China.
- Improve regional responsiveness and product relevance.

# STRATEGIC INITIATIVES

**Expand Investment in Sustainable Materials & Tech:**

- Increase focus on sustainable materials and innovations like Nike Air, Flyknight and Refurbished.
- Support Nike's Move to Zero goals while appealing to eco-conscious consumers.

**Partner with Tech Firms for Wearables & AI:**

- Collaborate on wearables and AI-driven product personalization.
- Stay ahead in the digital and fitness technology space

.

**Balanced Portfolio of Innovations:**

- Blend sustaining innovations with bold bets on disruptive technologies.

# HR AND CULTURE DEVELOPMENT

**HR and Culture Development**

- Mentorship Programs for Intrapreneurs
- Foster entrepreneurial thinking within teams.
- Encourage internal innovation and creative problem-solving

**Increase Cross-Functional Training**

- Promote knowledge-sharing across departments (marketing, design, operations).
- Enhance collaboration and innovation across Nike's teams.

**Reward Sustainability Goals**

- Incentivize teams that meet environmental and sustainability targets.
- Reinforce Nike's commitment to sustainability throughout the compan

# RECALIBRATE DIGITAL STRATEGY


**Enhance Digital Strategy**

- Revamp Digital Commerce: Streamline the digital shopping experience to boost online sales, focusing on personalization, speed, and ease of use.

**Leverage Data and AI**

- Use advanced analytics to predict consumer preferences and stock accordingly to reduce inventory issues

**Omnichannel Integration**

- Balance online and wholesale partnerships to maximize market penetration while leveraging the strengths of both models.

# RE-ESTABLISH DISTRIBUTION CHANNELS


**Reintroduce a hybrid model**

- Focus on streamlining digital experiences and ensuring a seamless omnichannel approach to enhance online sales.
- Address the decline in digital revenue by optimizing the online shopping experience and improving personalization
- Invest in improving digital infrastructure to handle growing demand and engage consumers more effectively online.

**Re-Establish Distribution Partnerships**

- Strengthen relationships with wholesale partners (e.g., Macy's, Urban Outfitters) to diversify sales channels and reach a broader customer base.
- Expand retail partnerships to increase brand presence and provide multiple purchasing options for consumers
- Develop hybrid distribution models that blend D2C with traditional retail channels to reach more customers across different shopping preferences.

# THANK YOU